

Expected approval cost

40
30
20
10
0

0.0 0.1 0.2 0.3 0.4 0.5 0.6 0.7 0.8 0.9

Subsidy, ε

Probability of opting out

1.0
0.9
0.8
0.7
0.6
0.5
0.4
0.3

